

RESEARCH PAPER

The Procurement Apparatus

Ireland is committing billions to defence without the institutions that convert spending into capability. This paper designs the apparatus the state needs — a single procurement agency, a statutory funding floor, a shared compliance spine, and an independent assurance line — identifies the minimum viable core to stand up before the current contracts close, and sequences the rest.

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THE ARGUMENT Ireland buys defence equipment without a counterparty on its own side of the table. There is no state body to define requirements, verify pricing, capture an industrial return, or audit the result — which is why procurement was outsourced to France in the first place. The remedy is not a change of supplier but the construction of the missing institutions. This paper specifies them as one architecture: a Defence Procurement and Capability Agency at the core, a statutory investment floor beneath it, a spine of shared state functions around it, and an independent assurance line above it. Most of the build is a two-year, partly legislative project. But three components require no legislation and cannot wait — an independent assessment cell, an industrial participation office, and a value-for-money audit mandate — because conditions can only be attached to the radar and armoured-vehicle contracts before they close, and those close within months.

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The Problem: Why Ireland Has No Counterparty

This paper is the constructive companion to *‘Procurement Without Architecture’*, which diagnosed why Dublin handed legal, administrative, and logistical control of its rearmament to France: it had no procurement institutions of its own. The remedy is not to change supplier, it is to build the counterparty Ireland lacks — the standing capacity to decide what Ireland needs, verify what it is sold, capture an industrial return, and hold the result to account. That capacity is what this paper calls the *“apparatus”*.

The reason the apparatus does not already exist is not money. It is the one that runs through Security Ireland’s research programme: *capital without architecture produces expenditure, not capability*. Ireland’s constraint is institutional bandwidth, not budget — a €42 billion surplus between 2022 and 2024 proves that the binding limit is not the size of the cheque but the system’s capacity to convert it into delivered capability. For a century the state was configured for the absence of military capability, and one consequence is that the procurement system has never built a first-generation capability. There is no template for acquiring primary radar, no institutional memory

of a naval combat system, no established supplier relationships for counter-drone or armoured platforms. The system has already managed routine replacement; however it is now being asked to deliver capabilities nobody in it has operated.

Seen that way, the decision to outsource to France was not subservience but the rational output of an institutional vacuum: a state that cannot specify, evaluate, or benchmark a €500 million radar rents another state’s procurement apparatus to do it. The problem is what a bridge is for. It buys time to build the institutions on the far side. But when treated as a permanent substitute for institutions, it converts a transitional arrangement into a structural dependency. The apparatus is designed under two rules that prevent that.

First, integrate, don’t proliferate: build one coordinating core and lean on shared state functions rather than a thicket of new agencies.

Second, separate who wants it, who buys it, and who checks it — requirements, delivery, and assurance must never sit in the same hands. The Belgian armoured-vehicle overrun, a contract that drifted toward ten times its estimate, is what the absence of that separation produces.

DESIGN PRINCIPLE Separate who wants the capability, who buys it, and who checks it. The military should own the requirement; a procurement agency runs the buying process; and an independent cell and the public auditor check the price and the result. When these collapse into a single desk — or worse, into the supplier’s own procurement agency — there is no one left to verify value.

The Architecture

The apparatus has four layers: (1) a governance apex that sets priorities and owns the funding, (2) a core agency that defines and delivers acquisition, (3) a spine of shared state functions it draws on, and (4) an independent assurance line that checks it.

Figure 1 shows how they connect; the table that follows lists the eight functions, where each belongs, and what exists today.

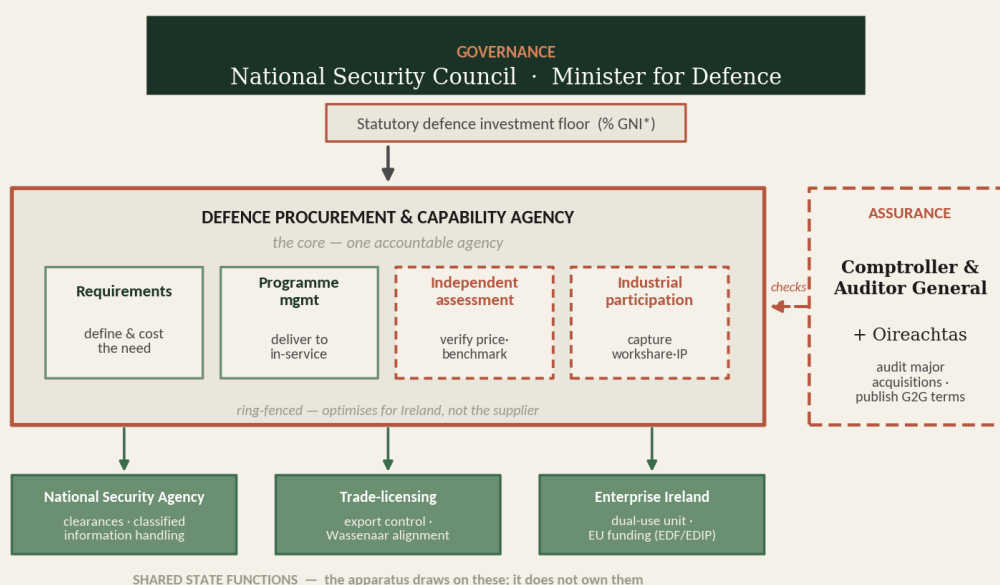


Figure 1: The procurement apparatus. A single accountable agency holds requirements, programme delivery, and two ring-fenced cells — independent assessment and industrial participation. It draws on shared state functions for clearances, export control, and industrial development, and answers to an independent assurance line.

Component	Function	Home	Status
Statutory investment floor	Insulate funding from budget cycles	NSC / legislation	Missing
Procurement & Capability Agency	Requirements and programme delivery — the core	Department of Defence	Missing
Independent assessment cell	Verify pricing; benchmark systems and routes	Ring-fenced in the agency	Missing
Industrial participation office	Capture workshare, technology transfer, IP rights	Within the agency	Missing
Clearances & classified handling	Vet personnel and facilities; hold classified data	National Security Agency	Interim
Export control	Licensing, end-use, Wassenaar alignment	Trade-licensing system	Minimal
Dual-use industrial unit	Link workshare to EU funding (EDF, EDIP, SAFE)	Enterprise Ireland	Blocked by law
Assurance line	Audit major acquisitions; publish G2G terms	C&AG and the Oireachtas	Weak

Source: Security Ireland analysis, building on the proposed National Security Strategy framework and the institutional-prerequisites series.

The Core: A Defence Procurement and Capability Agency

The core of the apparatus is a Defence Procurement and Capability Agency — the one institution Ireland most lacks and the centrepiece of Irish capabilities that follow. It is best understood as a coordination-and-delivery layer rather than a replacement for any existing body. The Defence Forces remain the customer who owns the operational requirement; the agency translates that requirement into a costed specification, runs the acquisition, and delivers the capability into service. This mirrors the design principle Security Ireland has applied to intelligence reform: the integrating institution adds the function no existing body can perform alone, without absorbing the others.

The agency holds four functions, arranged to enforce the separation principle. A **requirements function** defines and costs what Ireland needs. A **programme-management function** runs each major acquisition to in-service under a single accountable officer — diffuse responsibility is how the Belgian contract drifted, and single-point accountability is the structural answer. Ring-fenced inside the agency are the two cells that do the work the companion brief identified as missing.

The first is an **independent assessment cell**. It demands open-book pricing and benchmarks every offer against both an alternative system and

an alternative acquisition route — government-to-government, multinational, or competitive tender. It is structurally walled off from the officials negotiating the deal, and certainly from the supplier's own procurement agency. France's Direction Générale de l'Armement optimises for France; this cell optimises for Ireland; the two cannot be the same desk. The second is an **industrial participation office**, which attaches workshare, technology-transfer, and intellectual-property and upgrade-access requirements to every contract. It is treated in detail in the next section.

None of this can be staffed overnight; Ireland cannot conjure a cadre of ex-industry acquisition engineers from a system that has never run a first-generation build. So the design assumes the agency must buy capacity to build capacity — standing it up through secondments, framework contracts with independent technical advisers, and exchanges with partner-state procurement bodies such as the UK's Defence Equipment & Support organisation, the European Defence Agency, and OCCAR, the European organisation for joint armament cooperation. The point of those relationships is not to outsource judgement again, but to borrow the expertise that lets Ireland exercise its own.

Industrial Participation: Capturing the Return

Ireland will spend on the order of €2.5 billion on defence this decade whether or not it builds an industrial return into the spending. Without an industrial participation policy, that sum leaves the country as a transfer payment to foreign primes. With one, it returns an estimated €375–750 million in domestic workshare, technology transfer, and reference customers for Irish firms — and it does so in precisely the dual-use domains where Ireland already has capability. Every comparable defence-procuring state requires

participation of this kind. Ireland, at present, does not.

The instrument has a legal constraint and a legal opportunity. The EU Defence Procurement Directive (2009/81/EC) restricts traditional offsets, but it permits requirements related to security of supply and security of information that can include local industrial participation. Ireland should design its policy within that existing flexibility — and, because it chairs the Directive's 2026 revision during its Council Presidency, it is positioned to ensure the revised rules protect small-state

participation rather than further constraining it. The office itself is modest: three to five people inside the Department of Defence's procurement function, able to evaluate proposals, monitor compliance, and report annually to the Minister. It can be established by administrative action, because participation requirements are contractual terms, not regulatory obligations.

Industrial participation has well-documented failure modes, and the office should be designed around them from the outset:

Phantom offsets : the prime claims credit for activity that would have happened anyway. The fix is an additionality requirement — credit only for activity that would not have occurred without the obligation.

Gold-plating : the prime proposes expensive, low-value activity to hit the percentage target. The fix

is a pre-approved list of eligible activities with clear criteria.

Displacement : the prime subcontracts to an Irish firm at below-market terms, extracting value rather than building capability. The fix is a fair-market-value requirement with monitoring of subcontract terms.

Front-loading : the prime meets obligations early through easy activity, then disengages from the harder capability-building later. The fix is a milestone-linked schedule aligned to the procurement timeline.

Applied to the contracts Ireland is signing now, the policy has concrete targets. The table maps each major programme to the domains where Irish firms can plausibly contribute.

Programme	Where Irish firms can contribute	Example capability
Primary radar	Signal processing, AI detection, data fusion, through-life maintenance	Sea-Scan, Ubotica
Armoured vehicles (France)	VR training simulation, sensor integration, communications	VRAI, Provizio
Naval fleet renewal	Onboard surveillance, communications, navigation, sensor packages	Maritime-sensing firms

Source: Security Ireland analysis; firm examples drawn from Ireland's dual-use technology base.

Where €2.5 billion goes

Decade defence spend: what an industrial participation policy keeps in Ireland



Figure 2: What the industrial participation office captures. Without an apparatus, the full decade spend leaves Ireland; with one, an estimated €375–750 million in workshare, technology transfer, and reference customers stays.

The Compliance Spine

Around the core sit functions the apparatus depends on but should not own: the integrate-don't-proliferate rule in practice. Three matter most, and all three are partly built or in train elsewhere in the state.

Clearances and classified-information handling.

EU defence programmes require personnel and facility security clearances and the secure handling of classified technical data. The Minister for Justice is introducing an interim clearance process, with a National Security Agency to follow; the apparatus needs that interim process made permanent and statutory, with vetting, facility accreditation, and classified-information protocols that meet EU standards for EDF, EDIP, and SAFE participation.

Export control. Defence and dual-use exports require licensing, end-user certification, end-use monitoring, and alignment with the Wassenaar

Arrangement. Ireland has this capacity only at minimal scale, because it has had little to export. It belongs in the trade-licensing system, scaled up — not duplicated inside Defence. Switzerland's 2022 block on the re-export of its ammunition to Ukraine is a reminder that the political economy of these controls is real, and that Ireland should not assume the dilemmas will be simple.

The dual-use industrial unit. A dedicated unit in Enterprise Ireland, unlocked by amending the Science and Technology Act 1987, connects the workshare the participation office wins to the EU instruments — the European Defence Fund, EDIP, and SAFE — that co-fund it. Without the amendment, Irish firms cannot access EU defence-industrial support through their national agency, and participation remains a one-off rather than a pipeline.

The Assurance Line

Assurance runs on a line of its own, answering to Parliament rather than to the agency it audits. It has three elements: (1) a standing remit for the Comptroller and Auditor General over major defence acquisitions; (2) a transparency rule requiring the core terms of government-to-government deals to be laid before the Oireachtas within defined limits; and (3) scrutiny by the relevant Oireachtas committee. The separation is vital because assurance captured by delivery is no assurance at all.

The Belgian precedent is the warning for Ireland. Belgium's Court of Audit found in 2025 that a contract for French-made armoured vehicles was heading toward roughly ten times its initial estimate, amid persistent opacity over pricing and terms. The lesson is not that Belgium bought French; it is that the overrun surfaced only because an independent auditor looked, and that Ireland, today, has no equivalent standing capacity to look. A C&AG remit is the cheapest, fastest piece of the entire apparatus, and the one that most directly answers the Belgian case.

Designed Against Its Own Failure Modes

A new institution is only as good as its resistance to the ways such institutions usually fail. The apparatus is designed against five of them.

Capture. The assessment cell going native, or buckling to the urgency of a deal, is met with structural independence from the negotiators and the use of external technical advisers who have no stake in the outcome.

The empty coordinator. A body with a name but no remit is met by giving the agency real sign-off authority over major acquisitions and giving the C&AG a real audit remit — the failure mode Security Ireland has warned about in intelligence reform, where a coordinator without mandate simply layers on top of existing fragmentation.

Lock-in. The Scorpion arrangement — exclusive supplier control of software and upgrades — is met by mandatory intellectual-property, data, and upgrade-access rights written into every contract.

Political discontinuity. Defence investment that lapses with the electoral cycle is met by the statutory investment floor, expressed as a

percentage of GNI* to survive Ireland's distorted national accounts.

Capacity. The shortage of acquisition expertise is met by buying capacity to build capacity — secondments, framework contracts, and partner-state exchanges in the early years, transitioning to permanent staff as the agency matures.

The France Question

With this machine in place, government-to-government procurement stops being a synonym for dependency. Ireland can still buy from France — but it can verify the price, benchmark the system, capture workshare, and own its upgrade rights. The relationship becomes a transaction conducted from strength rather than a surrender conducted from need.

The apparatus also opens the alternatives that pure French G2G forecloses. An assessment cell that can run a competitive route makes OCCAR

available for European multinational programme management, the European Defence Agency available for benchmarking and pooled procurement, and joint buys with other small states available as a way to reach scale. France becomes one channel among several — one layer of a diversified architecture rather than the load-bearing wall. That is the same layered logic on which the rest of Irish security policy already runs, in which bilateral, EU, and NATO-adjacent tracks compound rather than compete.

Anticipated Objections

A new institution invites four reasonable objections.

'Ireland cannot wait for new bureaucracy.' The minimum viable core is eight to thirteen people established by administrative decision — not a new department requiring legislation — and it can be standing inside the current procurement cycle. What Ireland genuinely cannot afford is the alternative the Belgian Court of Audit documented: a contract drifting toward ten times its estimate because no one had the standing to check it.

'A state this small cannot run its own procurement agency.' Comparable small states do, and the design does not ask Ireland to build everything alone. It leans on shared state functions for clearances and export control, borrows expertise through secondments and partner-state exchanges, and uses OCCAR and the European Defence Agency for the programme-management and benchmarking scale a small

agency lacks. The agency coordinates and decides; it does not have to manufacture every capability in-house.

'An assessment cell will slow procurement when speed is the whole point.' It is scoped to major acquisitions and runs in parallel with negotiation, not in series after it. A few weeks of open-book scrutiny before signature is not the enemy of speed; an unbounded overrun and a decade of single-source lock-in are. Verification is what makes fast spending safe rather than merely fast.

'Industrial participation is protectionism the EU forbids.' The EU Defence Procurement Directive restricts classical offsets, but it expressly permits requirements tied to security of supply and security of information, which can carry industrial participation. Ireland should design within that flexibility — and, chairing the Directive's revision during its Presidency, it is better placed than almost any member state to keep that flexibility open for small economies.

What to Build First

Three components require no legislation, cost little, and have to exist now — because conditions can only be attached to the radar and armoured-vehicle contracts before signature, and those are closing within months.

1. Stand up an independent assessment cell

Five to eight people — technical, commercial, and cost analysis — established by administrative decision inside the Department of Defence and staffed at speed through secondments and framework contracts with independent technical advisers. Before any further contract is signed, it requires open-book pricing and benchmarking against at least one alternative platform and one alternative acquisition route. The cell need not be large; it needs to exist. Its absence, not France's presence, is the source of the value-for-money problem, and it is the single highest-leverage move in the design.

2. Establish the industrial participation office

Three to five people on an administrative basis, applying workshare, technology-transfer, and IP-and-upgrade-access requirements to the radar and armoured-vehicle contracts before they close. Additionality tests, pre-approved activity lists, fair-market-value requirements, and milestone-linked schedules defeat the standard offset failures. This is what converts roughly €2.5 billion of outflow into an estimated €375–750 million of domestic return.

3. Give the Comptroller and Auditor General a standing remit

A permanent audit mandate over major defence acquisitions, and a transparency rule requiring government-to-government terms to be laid before the Oireachtas within defined limits. Near-zero cost, immediate accountability, and the direct institutional answer to the Belgian precedent.

Sequencing

The core trio is **Phase 1**: administrative and ministerial action in 2026, no legislation required. **Phase 2** (2027–2028) is the legislative build — it puts the agency on a statutory footing, makes the National Security Agency's clearances permanent, stands up the export-control framework, amends the Science and Technology Act, and legislates the investment floor. **Phase 3** (2028–2032) is the

maturation — the agency's programme offices deliver first-generation capabilities and Irish firms move into European supply chains on the workshare the apparatus has been capturing throughout. The sequence mirrors the LOA transition that structures the wider defence debate: spend first, institutionalise second, sustain third — each phase a different kind of reform.

Building the apparatus: a three-phase sequence

The core trio is administrative and immediate; the statutory build follows; capability matures last. The phasing mirrors the LOA transition.

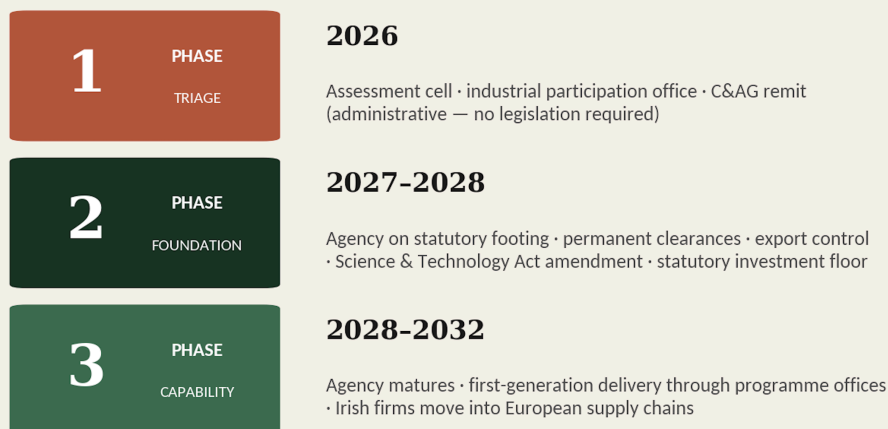


Figure 3: The three-phase sequence. The minimum viable core is immediate and administrative; the statutory architecture follows; capability and industrial participation mature last.

THE BOTTOM LINE The apparatus is the difference between buying equipment and building capability. Its full form is a two-year institutional project, but its core (assessment, participation, audit) is a matter of administrative decision and can be in place this year. The contracts are closing now. Ireland can sign them with a counterparty on its own side of the table, or without one. That choice, not the choice of France, is the one that determines whether €2.5 billion produces capability or merely expenditure.

A NOTE ON METHOD This paper synthesises publicly available information from Security Ireland's research programme. It draws on the institutional-prerequisites series, the proposed National Security Strategy framework, the LOA Transition Architecture, the Intelligence Architecture Reform paper, and on public reporting of Ireland's procurement pipeline and EU defence-industrial instruments. The institutional design is the author's; it is offered to be adopted, adapted, or contested.

SERIES CONTEXT Constructive companion to 'Procurement Without Architecture'. It implements the procurement and industrial-policy components of the proposed National Security Strategy framework.